FINANCIAL ACCOUNTING & REPORTING

Suggested Answers
May 2026

Answer to the Question# 1(a):

1. Historical cost: The consideration paid to acquire the assets. Value: Tk. 500,000
2. Current cost: The cost of an equivalent asset at the measurement date. Value: Tk. 600,000
3. Settlement value (NRV): The amount of cash that could currently be obtained by selling the asset in an orderly disposal. Value: 420,000
4. Value in use (present value): The discounted present value of the cash flows the entity expects to derive from the use of the asset. Value: Tk. 550,000

Answer to the Question# 1(b):

The "break-up basis", it is an alternative basis of preparation used when an entity is no longer a going concern, with guidance primarily derived from IAS 1, IAS 10, and the IFRS Conceptual Framework.

When to Use the Break-up Basis

The break-up basis is necessary when the going concern assumption is invalid, specifically:

- The entity is in the process of liquidation or has ceased trading.
- Management has no realistic alternative but to liquidate or cease operations.

One of the key assumptions made under the accrual basis is that the business will continue as a going concern. However, this will not necessarily always be the case. There may be an intention or need to sell off the assets of the business. Such a sale typically arises where the business is in financial difficulties and needs the cash to pay its creditors. Where this is the case an alternative method of accounting must be used (in accordance with IAS 1, Presentation of Financial Statements). In these circumstances the financial statements will be prepared on a basis other than going concern, which is commonly referred to as the 'break-up' basis.

How to Apply:
The break-up basis values assets and liabilities today as if the entity was about to cease trading and had to dispose of all its assets and liabilities. The effect of this is seen primarily in the statement of financial position as follows:

- **Classification of assets and liabilities:** All assets and liabilities would be classified as current rather than non-current.
- **Valuation of assets:** Assets would be valued on the basis of the recoverable amount on sale. This is likely to be substantially lower than the carrying amount of assets held under historical cost accounting.
- **Liability recognition:** Provisions are made for costs directly associated with winding up the business, such as legal fees, redundancy payments, or onerous contracts.
- **Disclosure:** The financial statements must clearly disclose that they are not prepared on a going concern basis and explain the basis used.

Primary References of using alternative basis of accounting:

The break-up basis (often referred to as the liquidation basis or orderly realization basis) is not **explicitly defined or prescribed within IFRS Accounting Standards. However, guidelines are provided in some standards and Conceptual Framework as provided below:**

- **IAS 1 Presentation of Financial Statements (Paragraph 25):** States that management must assess an entity's ability to continue as a going concern. If management intends to liquidate the entity or cease trading, or has no realistic alternative but to do so, the financial statements cannot be prepared on a going concern basis.

- **IAS 10 Events after the Reporting Period (Paragraph 14):** Provides that an entity cannot prepare its financial statements on a going concern basis if management determines after the reporting period that it intends to liquidate the entity or to cease trading.

- **Conceptual Framework for Financial Reporting & IAS 8:** When the going concern basis is not appropriate, IFRS Standards do not mandate a specific measurement basis. Instead, entities must develop accounting policies that provide relevant and reliable information, often switching from historical cost to net realizable value.

Answer to the Question# 1(c):

Date: DD/MM/YYYY

Dear Uncle Kaiser Hamid,

I received the information on Orion Corporation and appreciate your interest in sharing this venture with me. However, I think that basing an investment decision on these financial statements would be unwise because they are neither relevant nor a faithful presentation.

One of the most important characteristics of accounting information is that it is relevant, i.e., it will make a difference in my decision. To be relevant, this information must have predictive value, confirmatory value, or both. Being timely is also important. Because Orion's financial statements are a year old, they have lost their ability to influence my decision: a lot could have changed in that one year.

As indicated, one element of relevance is predictive value. Orion's accounting information proves irrelevant. Shown without reference to other years' profitability, it cannot help me predict future profitability because I cannot see any trends developing. Closely related to predictive value is confirmatory value. These financial statements do not provide feedback on any strategies which the company may have used to increase profits.

These financial statements also are not faithfully presented. In order to be so, their assertions must be verifiable by several independent parties. Because no independent auditor has verified these amounts, there is no way of knowing whether or not they are represented faithfully. For instance, I would like to believe that this company earned Tk 2,424,240, and that it had a very favorable debt-to-equity ratio. However, unaudited financial statements do not give me any reasonable assurance about these claims.

Finally, the fact that Mrs. Sharmin, Wife of MD, herself prepared these financial statements indicates a lack of neutrality. Because she is not a disinterested third party, she is a related party. I cannot be sure that she did not prepare the financial statements in favor of her husband's business.

I do appreciate the trouble you went through to get me this information. Under the circumstances, however, I do not wish to invest in the Orion bonds and would caution you against doing so. Before you make a decision in this matter, please call me.

Sincerely,

Your Nephew

Answer to the Question# 2(a):

IAS 16 governs the recognition, measurement, depreciation, and de-recognition of property, plant, and equipment (PPE). While the standard provides structured guidance, it also involves significant managerial judgment—***particularly in areas such as useful life estimation, capitalization of costs, and fair value measurement.*** This flexibility, if misapplied or intentionally exploited, can facilitate earnings management, where management manipulates financial results to achieve desired targets rather than reflect economic reality.

- **How Misapplication of IAS 16 Influences Earnings Management**

1. Manipulation of Useful Life and Residual Value

Mechanism:

Extending useful life or increasing residual value reduces annual depreciation expense, thereby inflating profits.

Example (Real-world style):

A manufacturing company revises machinery life from 10 to 15 years without operational justification. This reduces depreciation expense significantly, boosting short-term earnings.

Impact:

- Overstated profits
- Misleading performance trends
- Reduced comparability across periods

2. Capitalization of Non-Qualifying Expenditures

Mechanism:

Costs that should be expensed (e.g., repairs, training) are capitalized, deferring expense recognition.

Example:

A company capitalizes routine maintenance costs as "asset improvements," spreading expenses over future periods instead of recognizing them immediately.

Impact:

- Artificially higher current profits
- Overstated asset base
- Distorted return ratios (e.g., ROA)

3. Aggressive Revaluation Practices

Mechanism:

Overstating fair value under the revaluation model increases asset values and equity.

Example:

A real estate-intensive firm reports significant upward revaluation gains based on optimistic valuation assumptions in a volatile market.

Impact:

- Inflated equity through revaluation surplus
- Improved leverage ratios
- Potential misguidance to investors

4**. Failure to Derecognize Replaced Components**

Mechanism:

When parts of an asset are replaced, the old component must be derecognized. Failure to do so results in double counting. For Example:

An airline replaces aircraft engines but continues to carry the old engine in books while capitalizing the new one.

Impact:

(a) Overstated assets
(b) Understated expenses
(c) Inflated profitability

5. Selective Capitalization of Major Overhauls

Mechanism:

Management may inconsistently capitalize or expense similar expenditures depending on desired earnings outcomes.

Example:

In a low-profit year, a company capitalizes overhaul costs to defer expenses; in a high-profit year, it expenses similar costs to smooth income.

Impact:

a) Earnings smoothing
b) Reduced transparency
c) Lower reliability of financial statements

- **Link with Impairment Considerations**

Misapplication of IAS 16 is often linked with delayed recognition of impairment under IAS 36 Impairment of Assets. For Example:

A company avoids recognizing impairment losses despite declining asset productivity, maintaining inflated carrying amounts and profits.

- **Critical Evaluation**

While IAS 16 aims to ensure faithful representation and relevance, its reliance on estimates and judgments creates opportunities for opportunistic behavior.

Key Issues:

a) High managerial discretion
b) Difficulty in external verification (e.g., useful life)
c) Incentives linked to bonuses, debt covenants, or market expectations

- **Conclusion**

  Misapplication of IAS 16 can significantly influence earnings management through manipulation of depreciation, capitalization, and valuation practices. Although the standard provides a robust framework, its effectiveness ultimately depends on ethical application.

Answer to the Question# 2(b):

In the Books of Dorin Power Ltd

Journal entries on 31 December 2019:

Accumulated Depreciation – Building ----------Dr	300,000	
Building ---------- -…….----------Cr		300,000
(*Original cost 3,000,000 – Carrying amount 2,700,000)*		
Impairment Loss of Building—(Charge to P/L)----------Dr	500,000	
Building ----------…….Cr		500,000
(Revaluation of asset from carrying amount of Tk 2,700,000 to fair value of Tk 2,200,000)		

31 December 2020: The building is now reassessed as having a fair value of Tk 2,800,000

a) **The first step is to write off the accumulated depreciation of the asset, reducing the recorded amount to Tk 2,000,000.**

(Estimated useful life of the building should have been mentioned in question when the asset was procured. Whenever the asset is earlier impaired and later it is upward revalued, the accounting entries of the asset revalued will be given considering as if the asset were not impaired).

Accumulated Depreciation – Building……. Dr	200,000	
Building Cr		200,000
(Write down the value of the building to Tk 2,000,000)		

b) The second step is to recognize the revaluation increase from Tk 200,000 to Tk 2,800,000.

Building	800,000	
Gain on Revaluation of Building (Charge to P/L)		500,000
Revaluation surplus – (Other Comprehensive Income)		300,000

(*Revaluation of building from carrying amount of Tk 2,000,000 to lair value of Tk 2,800,000) (Above Dr. & Cr. figures depend on original estimated life of asset when it was procured that is not mentioned in question).*

c) The third step is to recognize the tax effect of the increase relating to the amount recognized in other comprehensive income, being 30% x Tk 300,000.

Revaluation surplus – Other Comprehensive Income ……Dr 90,000		
Deferred Tax Liability ……Cr	90,000	

Journal entries on 31 December 2021, 2022 and 2023

To record depreciation for the years: (2,800,000/14 = 200,000 per year)

Depreciation Expenses – Building ..Dr	200,000	
Accumulated Depreciation – Building……Cr		200,000

Journal entries on 31 December 2024:

a) **To record depreciation for the year 2024**

Depreciation Expenses – Building…..Dr	200,000	
Accumulated Depreciation – Building……Cr		200,000

b) **Write off the accumulated depreciation of the asset reducing the recorded amount to WDV**

Accumulated Depreciation – Building……..Dr	800,000	
Building…….Cr		800,00

(200,000 X 4 = 800,000)

c) To put journal entry for following the fair value model for building:

Investment Property (Building)……Dr.	2,500,000	
Building (PPE)……Cr.		2,000,000
Revaluation Reserve……Cr.		500,000

(To record investment property from owner occupied asset, building)

Revaluation Reserve……Dr.	150,000	
Deferred Tax Liabilities……Cr.		150,000

(500,000*30%=150,000)

Journal entry on 31 December 2025
To record the loss following fair value measurement as on 31 December 2025

Revaluation Reserve ……	Dr	140,000
Deferred Tax Liabilities (200,000*30%) ……	Dr.	60,000
Building…….Cr		200,000

Answer to the Question# 3(a):

Discussion on IAS 2 Principles:

Cost of Inventories:
IAS 2 states that cost of inventories shall comprise all costs of purchase, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition. Costs of conversion include direct labor and a systematic allocation of fixed and variable production overheads.

Subsequent Measurement:
IAS 2 requires inventories to be measured at the lower of cost and net realizable value (NRV). NRV is the estimated selling price in the ordinary course of business less estimated costs of completion and estimated costs necessary to make the sale.

Application to Raw Materials:
For raw materials, the principle of lower of cost and NRV is applied with nuance. If the finished goods in which they will be incorporated are expected to be sold at or above cost, raw materials are not written down, even if their own replacement cost or NRV (as scrap) has fallen. However, if the finished goods are expected to be sold below cost, the raw materials must be written down to their NRV. The NRV of raw materials is the estimated selling price of the finished goods less costs of completion and selling costs.

Answer to the Question# 3(b):

Valuation of Solar Panel Division Inventory
Finished Solar Panels:
Cost per unit = Tk. 4,500
NRV per unit = Tk. 4,200
Lower of cost and NRV = Tk. 4,200
Value of Finished Goods = 2,000 units × Tk. 4,200 = Tk. 84,00,000

Raw Materials (A & B):
The finished goods are now being sold below cost (Tk. 4,200 NRV < Tk. 4,500 Cost). Therefore, the raw materials must be written down to their NRV.
NRV of raw materials = Estimated selling price of finished goods – Costs of completion – Costs to sell.
NRV per unit of raw materials = Tk. 4,200 (selling price) – Tk. 1,500 (labor & overhead) = Tk. 2,700.
Total cost of raw materials = (5,000 units A × Tk. 1,800) + (5,000 units B × Tk. 1,200) = Tk. 90,00,000 + Tk. 60,00,000 = Tk. 1,50,00,000
Total NRV of raw materials = 10,000 units × Tk. 2,700 = Tk. 2,70,00,000.
Since the NRV (Tk. 2,70,00,000) is higher than the cost (Tk. 1,50,00,000), no write-down is required for raw materials. They will be reported at cost.

Answer to the Question# 3(c):

Valuation of "Chip-Z" (Electronic Components)
Calculation of Weighted Average Cost:
Total Cost of Opening Stock and Purchases = (1,000 × 500) + (2,000 × 550) + (1,500 × 600)
= 5,00,000 + 11,00,000 + 9,00,000 = Tk. 25,00,000
Total Units Available = 1,000 + 2,000 + 1,500 = 4,500 units
Weighted Average Cost per unit = Tk. 25,00,000 / 4,500 units = Tk. 555.56 (rounded)

Calculation of Cost of Closing Inventory:
Units Sold = 3,500 units
Closing Inventory = 4,500 – 3,500 = 1,000 units
Cost = 1,000 units × Tk. 555.56 = Tk. 5,55,560
Determination of Write-down:
NRV per unit = Tk. 480
NRV of closing inventory = 1,000 units × Tk. 480 = Tk. 4,80,000
Since NRV (Tk. 4,80,000) is less than Cost (Tk. 5,55,560), a write-down is required.
Write-down amount = Tk. 5,55,560 – Tk. 4,80,000 = Tk. 75,560
Closing Inventory Value = Tk. 4,80,000

Answer to the Question# 3(d):

Reversal of Write-down (Inverter Inventory)
Historical Cost and Write-down:
Original Cost (2022): Tk. 15,00,000
Carrying Amount after write-down (31 Dec 2022): Tk. 12,00,000
NRV (31 Dec 2023): Tk. 16,50,000

Accounting for Reversal:
IAS 2 requires a reversal of a previous write-down when the circumstances that caused the write-down no longer exist or there is clear evidence of an increase in NRV.
The reversal is limited to the amount of the original write-down (Tk. 3,00,000) and cannot increase the carrying amount above the original cost (Tk. 15,00,000).
New NRV (Tk. 16,50,000) exceeds the original cost (Tk. 15,00,000).

Calculation of Reversal and New Carrying Amount:
Maximum carrying amount after reversal = Original Cost = Tk. 15,00,000
Current carrying amount = Tk. 12,00,000
Reversal amount = Tk. 15,00,000 – Tk. 12,00,000 = Tk. 3,00,000
New Carrying Amount = Tk. 15,00,000
(Note: The reversal is recognized in profit or loss as a reduction in the cost of sales for the year ended 31 December 2023

Answer to the Question# 3(e):

Disclosure Requirements
Key IAS 2 Disclosure Requirements:

1 The accounting policy for measuring inventories, including the cost formula used (e.g., FIFO, weighted average).
2 The total carrying amount of inventories and a breakdown by category (e.g., raw materials, work in progress, finished goods).
3 The amount of inventories recognized as an expense during the period (cost of sales).
4 The amount of any write-down of inventories recognized as an expense.
5 The amount of any reversal of a write-down and the circumstances leading to the reversal.
6 The carrying amount of inventories pledged as security for liabilities.

Answer to the Question# 4(a):

Particulars	**Ref.**	**Tk.**
Capital & Reserve		
Share Capital	Note -2	4,340,000

Share Premium	Note -3	-
Retained Earnings	Note -4	5,355,000
Liabilities		
Redeemable Preference Share	Note -1	383,702

Note 1: Redeemable Preference Share

Particulars	Tk.
Par value	250,000
Add: Premium 50%	125,000
	375,000
Less: Transaction Cost	(6,800)
Initial Measurement	**368,200**
Add: Effective Interest @11%	40,502
Less: Interest Paid (Tk. 250,000 * 10%)	(25,000)
Closing Balance at 31 December 2025	**383,702**

Note 2: Share Capital

Particulars	**Tk.**
Opening capital	2,500,000
Add: New Issue (In question it is mistakenly mentioned as Horizon Foods but it is supposed to be Panda Foods PLC)	600,000
	3,100,000
Add: Bonus Share (3,100,000/5 *2)	1,240,000
Closing Balance	**4,340,000**

Note 3: Share Premium

Particulars	**Tk.**
Opening capital	350,000
Add: New Issue	240,000
	590,000
Less: Issue Cost	(30,000)
Less: Bonus Share	(560,000)
Closing Balance	**-**

Note 4: Retained Earnings

Particulars	Tk.
Opening Balance	4,820,000
Add: Profit	1,240,000
	6,060,000
Less: Bonus Share Issue (Remaining Balance)	(680,000)
Less: Preference Dividend	(25,000)
Closing Balance at 31 December 2025	**5,355,000**

Answer to the Question# 4(b):

i. Under IAS 37 – Provisions, Contingent Liabilities and Contingent Assets, a contingent asset is recognized as asset only when the inflow of economic benefits is virtually certain.

At 31 Dec 2025, the cash refund of Tk. 12 million is not yet virtually certain, so it cannot be recognized as income. For the remaining Tk. 6 million, 60% probability of recovery is not sufficient for recognition; IAS 37 requires recognition of asset, only when inflow is virtually certain .

Conclusion / Treatment:

- Disclosure only: The claim of Tk. 12 million and the expected partial recovery (Tk. 3.6 million) should be disclosed as a contingent asset in the notes.

- No effect on profit or financial position at 31 Dec 2025.

ii. IAS 37 requires a provision for restructuring only when:

- A detailed formal plan exists, and
- There is a valid expectation of those affected (through announcement) that the restructuring will occur.

Directly attributable costs should be recognized as a provision, but ongoing operational costs (e.g., salary of project manager) are not included as part of the provision unless they cease after restructuring.

Quantification:

- Provision = Severance payments + Staff relocation + Retraining costs (Total Tk. 6.05 million)

Project manager salary is part of normal operating costs → expensed as incurred No provision Now.

Answer to the Question# 5(a):

Consolidated income statement for the year ended 30 September 20X5

Continuing operations	(TK'000)
Revenue (W2)	17,360
Cost of sales (W2)	(15,640)
Gross profit	1,720
Operating expenses (W2)	(850)
Profit before tax	870
Income tax expense (W2)	(460)
Profit for period from continuing operations	410
Discontinued operations	
Loss for the period from discontinued operations (160 (W4) – 446 (W6))	(286)
Profit for the period	124

Attributable to:	
Equity holders of Safwan Ltd	50
Non-controlling interest (NCI) (W3)	74
	124

Answer to the Question# 5(b):

Consolidated statement of changes in equity for the year ended 30 September 20X5 (extracts)

	Retained earnings Tk.'000	Non-controlling interest Tk.'000
Profits for the period	50	74
Dividends on ordinary shares	(600)	(20)
Eliminated on disposal (W12)	–	(2,064)
Balance brought forward (W9 & W11)	(550)	(2,010)
Balance carried forward (W10 & W13)	2,090	3,490
	1,540	1,480

Answer to the Question# 5(c):

Underlying principles re disposal

- Control follows substance over form; the subsidiary is consolidated while controlled.
- 100% of Sanyo Ltd results are consolidated until control is relinquished.
- 40% of results for the first six months are attributable to minority interest.
- Loss on disposal is based on net assets at the date of disposal including goodwill

WORKINGS

(1) Group structure

Safwan Ltd → 80% Sony Ltd

Safwan Ltd → 60% Sanyo Ltd (disposed of 31 March 20X5 – 6/12 included)

(2) Consolidation schedule for continuing operations (summary)

Item	Safwan Ltd	Sony Ltd	Adjustments	Total
	Tk'000	Tk'000	Tk'000	Tk'000
Revenue	10,040	7,500	(180)	17,360
Cost of sales				
Per question	(8,760)	(6,900)		(15,640)
Inventory NRV adj (W8)	(90)			
PURP (W7)		(20)	180	
Fair value adj (200/4)		(50)		
Operating expenses				
Per question	(400)	(420)		(850)
Impairment loss	(30)			(460)
Tax	(400)	(60)		
PAT		50		

(3) Non-controlling interest	Tk'000
Sony Ltd (20% × 50 (W2))	10
Sanyo Ltd (40% × 160 (W4))	64
Non-controlling interest	74

(4) Profit for Sanyo Ltd for year to disposal	Tk'000
PAT = 320 × 6/12	160

(5) Goodwill – Sanyo Ltd		Tk'000
Cost of investment		4,000
Less: Share of fair value of net assets acquired		
Share capital	3,000	
Retained earnings	3,000	
	6,000x60%	(3,600)
Goodwill		400
Impairment brought forward		(50)
Goodwill at date of disposal		350

(6) Group loss on disposal of Sanyo Ltd		(Tk.'000)
Sales proceeds		3,000
Less: Share of net assets at disposal		
Share capital	3,000	
Retained earnings (2,000 + 160 (W4))	2,160	
	5,160 × 60%	(3,096)
		(96)
Less: Carrying amount of goodwill at disposal (W5)		(350)
Loss on disposal		(446)

(7) PURP	%		Tk'000
Selling Price	150	(180 × 1/3)	60
Cost	(100)		(40)
GP	50		20

(8) Inventory NRV adjustment	(TK'000)
Contract (2 × 70)	140
Remainder ((5 – 2) × (120 – 30))	270
	410
Current carrying amount (5 × 100)	500
Provision needed	90

(9) Consolidated retained earnings brought forward	(TK'000)
Safwan Ltd – per question	2,500
Sony Ltd (80% × (6,400 – 6,000 + 200 – 150))	360
Sanyo Ltd (60% × (2,000 – 3,000))	(600)
Impairment (120 + 50)	(170)
	2,090

(10) Consolidated retained earnings carried forward	(TK'000)
Safwan Ltd – per question	2,460
NRV adjustment (W8)	(90)
Loss on investment (4,000 – 3,000)	(1,000)
Sony Ltd (80% × (6,420 – 6,000 + 200 – 200 – 20))	320
Impairment (120 + 30)	(150)
	1,540

(11) Non-controlling interest brought forward	(TK'000)
Sony Ltd ((1,000 + 6,400 + 200 – 150) × 20%)	1,490
Sanyo Ltd ((3,000 + 2,000) × 40%)	2,000
	3,490

(12) Non-controlling interest eliminated on disposal of Sanyo Ltd	(TK'000)
Brought forward (W11)	2,000
NCI in profit of year (W3)	64
	2,064

(13) Non-controlling interest carried forward – Stony Ltd	(TK'000)
Brought forward (W11)	1,490
In year (W3)	10
Less: Dividends to NCI in year	(20)
	1,480

Answer to the Question# 6(a):

This treatment is not consistent with IPSAS requirements. Under IPSAS, tax revenue should be recognized when the taxable event occurs, not when cash is received.

The taxable event is defined as the activity or circumstance that gives rise to the obligation to pay tax (e.g., earning income, owning property, or making a taxable sale). Once this event occurs, the government has a claim to the resources, and revenue should be recognized, provided it can be reliably measured and is probable that the economic benefits or service potential will flow to the entity.

Amounts not yet collected should be recognized as receivables, with appropriate consideration for impairment if collectability is uncertain. Therefore, recognizing revenue only on a cash basis understates both revenue and receivables and does not comply with accrual-based IPSAS.

Answer to the Question# 6(b):

The unspent government budget does not automatically become revenue or expense; rather, expenditure should be recognized only when incurred, and any remaining budget represents unused appropriation rather than a liability or income.

Second, the donor funding includes conditions, meaning it should initially be recognized as a liability until the conditions are satisfied. Using part of these funds for general administrative expenses violates the donor agreement and results in non-compliance. The misapplied portion should either remain as a liability or potentially be repayable, depending on the agreement.

Third, expenses incurred but not yet paid must still be recognized under the accrual basis, with a corresponding liability recorded. This ensures that financial statements reflect the true financial position and performance of the Ministry.

---The End---